

BOARD MEETING OF THE CBA

MINUTES (16.03.2021)

On the Refinancing Rate

The CBA Board Meeting of March 16, 2021 attended by CBA Governor Martin Galstyan, Deputy Governors Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Hasmik Ghahramanyan, Arthur Stepanyan, Oleg Aghasyan, Hovhannes Khachatryan and Davit Nahapetyan

The Board meeting opened with a report of the situation as of March 16. It addressed the developments on inflation, external environment, and real, fiscal, financial and monetary sectors of the economy in the context of the continuing outbreak of the coronavirus, and major uncertainties related to the economic prospects.

It was noted that in February 2021, 0.6% inflation was recorded, compared to 0.2% deflation in the same month of the previous year. Subsequently, ***the 12-month inflation continued to grow and at the end of the month totaled 5.3%***, approaching the ceiling of the confidence band. ***The 12-month core inflation*** grew concomitantly, totaling ***5.5%*** by the end of February. Among the main commodity groups, during the month, the prices for food and non-alcoholic beverages grew by 0.6%, non-food products by 1.0%, and tariffs for services by 0.1%.

The developments of the foreign sector in the first quarter of 2021 were presented, according to which trends of economic activity and demand recovery in the main partner countries continued. It is expected that they will continue in the medium term too, due to the implementation of expansionary monetary and fiscal policies in those countries. According to projections, by the second half of 2021, the widespread impact of the coronavirus vaccine will mitigate negative impacts of the pandemic in developed countries and by the end of the year, in developing countries. Due to the positive expectations of global demand on one hand, and a number of supply factors on the other, inflationary tendencies in the main commodity markets persisted, contributing to the formation of a higher-than-expected inflationary environment in partner countries. However, as inflation in the US and the Eurozone remains below target, the central banks of these countries will continue to pursue expansionary monetary policy,

whereas the Central Bank of Russia will gradually switch to a neutral monetary policy during the year to curb inflation-driven inflation expectations. In the current situation, under the medium-term expansionary policies implemented in developed countries, prices in the international commodity and food markets throughout the forecast horizon will be shaped at a high level.

As for the economic situation in Armenia, the developments of the fourth quarter were summed up and it was noted that in light of the new outbreak of the epidemic, martial law declared in Armenia and increased uncertainties related to economic development prospects, lower than expected economic activity was observed in the fourth quarter, the main reason for that being the lower output in services and agriculture, by 14.8% and 8.6%, respectively. Low economic activity continued in the first quarter of 2021, as the economy continued to suffer from the decline in the services sector, which, in turn, was the result of sluggish domestic demand and low private consumption. In the first quarter, domestic demand was constrained by cautious behavior of the public in face of great uncertainty and slowdown in lending to the economy, which was to some extent offset by the Government's implementation of the expansionary fiscal policy during that period and the impact of larger-than-expected remittances inflow.

The Board discussed the situation in the financial market of the Republic of Armenia in the first quarter and noted that the short-term market interest rates adequately responded to the recent increases in the policy interest rate by the Central Bank, settling mainly around it. Yields on the government bond market grew in January, especially across the long-term section of the curve, but since February they started to drop, approaching year-end levels, reflecting developments in market expectations and risk assessments. At the beginning of the year, interest rates on loans and deposits in the banking system also grew, whereas growth rates of lending to the economy by the banking system continued to slow down due to the contraction of almost all types of loans, with the exception of mortgage lending, the growth of which is upheld due to the Government's plan for the refund of interest on income tax.

The Board reviewed inflation developments in the economy of Armenia during the first quarter, noting that both general and core inflation continued to accelerate simultaneously. According to estimates, inflation developments in recent months have been mainly influenced by supply factors, i.e. transfer of prices from international commodity and freight markets to domestic prices, as well as the depreciation of the Armenian dram. Following the discussion, it was

concluded that the impact of these factors has already been maximized by the one-time price adjustment, which will keep the 12-month inflation high in the short run, and then, with weak domestic demand, prices will adjust downwards and stabilize around the target in the forecast horizon. At the same time, it was noted that, in parallel with inflation, inflation expectations rise to some extent, which, partly as a result of the previous actions of the Central Bank, are considered as manageable and are mainly anchored.

An extensive discussion took place on the principles of monetary policy pursued by the Central Bank in the current situation and the importance of making them more accessible to the public. Under the inflation targeting strategy, the Central Bank pursues a future-oriented monetary policy, which means that decisions on refinancing rates are made on the basis of projected inflation and also affect future inflation, and the impact of the current actions on the actual inflation is limited. It has already occurred as a result of previous decisions, which were based on certain assumptions and expectations regarding those developments. In this context, it was noted that the Board, anticipating some acceleration of inflation and inflation expectations due to supply-side factors and in line with the principle of future-oriented monetary policy, significantly tightened monetary terms in December and February, raising the refinancing rate by a total of 1.25 percentage points.

Following a discussion of the situation report and external and domestic macroeconomic developments, the Board proceeded to addressing the monetary policy directions and making decision on the policy rate. ***The Board reviewed the proposal to rise the refinancing rate by 0.5 percentage points***, on the grounds that, although the acceleration of inflation is mainly due to the short-term impact of supply, but at the same time, inflationary expectations are rising among the public, which need to be addressed. At the same time, as a result of the discussions on the macroeconomic situation in the foreign and Armenian economies, inflation developments and the signals transmitted by their policies, the CBA Board concluded that the recent sharp tightening of monetary conditions was an important and sufficient step to curb inflation and inflation expectations, and the need for additional tightening in a sluggish demand environment can probably be avoided at present by triggering communication measures to curb inflation expectations. In view of the above, ***the CBA Board unanimously decided to leave the refinancing rate unchanged***, at the same time noting that the monetary policy will be aimed at neutralizing any risk of accelerating inflation expectations in the near future, without harm, as much as possible, to recovery of domestic

demand. Under such conditions, it is projected that the 12-month inflation, after some acceleration in the near future, will decrease in the forecast horizon and stabilize around the target of 4%.

The Central Bank Board noted that the risks of inflation deviation from the projected medium-term forecast under the high uncertainty of economic outlook are balanced, and in case of their emergence are ready to respond accordingly, in fulfilment of the objective of price stability.

The Board approved interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

Interest Rates of the Republic of Armenia Central Bank Operations in Financial Market

By virtue of Article 2.3 (20) “c” and “f” of the Republic of Armenia law “On the Central Bank”, and provisions of the Republic of Armenia law “On Normative Legal Acts”, the Board of the Republic of Armenia Central Bank, herewith enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 5.5%.
2. Set the lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 7.0%.
3. Set the deposit facility rate offered by the Central Bank of the Republic of Armenia at 4.0%.
4. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank

March 16, 2021

PRESS RELEASE
16.03.2021

At the March 16, 2021 meeting, the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, on a 5.5% level.

In February of 2021, inflation stood at 0.6% compared to 0.2% deflation recorded in the same month of the previous year, in which case the 12-month inflation and core inflation have increased to 5.3% and 5.5%, respectively, at the end of the month, mainly due to the effects transmitted from international commodity markets and the dram depreciation.

The economic activity and demand recovery trends continue in the main partner countries to Armenia during the first quarter of 2021, and this is expected to persist in the mid-term horizon, mostly fueled by the implementation of expansionary monetary and fiscal policies in those countries. Positive expectations about recovery of global demand, as well as a number of supply factors, continue to drive the price increases in the international food and commodity markets. This also contributes to a higher-than-expected inflationary environment in the partner economies. In such a situation, the Board of the Central Bank of Armenia still anticipates an inflationary impact on the Armenian economy from the external sector.

The economic downturn in Armenia in the fourth quarter of 2020 somewhat exceeded the forecasts presented in the previous monetary policy program, mainly due to reduced activity in services and agriculture sectors. In the first quarter of 2021, the economic activity remains sluggish, which is still mainly caused by the decline in services sector, reflecting the impact of persistent weak demand and low private consumption. Notwithstanding the small expansionary fiscal policy, domestic demand is expected to remain somewhat subdued in the near-term future amid existing uncertainty and slowdown in the lending growth. Under such conditions, the Board of the CBA is not anticipating inflationary effects from the domestic economy.

Back in December, forecasting some acceleration of inflation and inflation expectations due to supply factors, the Board of the CBA substantially tightened the monetary conditions. Taking the above into account and given the persisting environment of weak demand, the Board of the CBA finds it reasonable to leave the current policy rate unchanged. The Board agrees that in the near future as well, the monetary policy will target the neutralization of any risks of acceleration in inflation expectations, while trying to minimize the possible negative impact on the domestic demand recovery. As a result, after a certain acceleration in the near future, the 12-month inflation is projected to decrease and stabilize around the 4% target in the forecast horizon.

The Board of the CBA reckons that, under high uncertainty over the economic outlook, the risks of inflation deviating from the mid-term projection path are balanced; if such risks materialize, the Central Bank stands ready to react accordingly, in fulfilment of the objective of price stability.

Detailed information underlying the decision on the level of interest rate is available in Inflation Report (Monetary Policy Program for the first quarter of 2021) to be published by March 30, 2021.